6.3 Cash flows

	2019	2018	$ CHANGE	% CHANGE
Cash flows from operating activities	**7,958**	7,384	574	7.8%
Capital expenditures	**(3,988)**	(3,971)	(17)	(0.4%)
Cash dividends paid on preferred shares	**(147)**	(149)	2	1.3%
Cash dividends paid by subsidiaries to NCI	**(65)**	(16)	(49)	n.m.
Acquisition and other costs paid	**60**	79	(19)	(24.1%)
Voluntary DB pension plan contribution	**–**	240	(240)	(100.0%)
Free cash flow	**3,818**	3,567	251	7.0%
Business acquisitions	**(51)**	(395)	344	87.1%
Acquisition and other costs paid	**(60)**	(79)	19	24.1%
Voluntary DB pension plan contribution	**–**	(240)	240	100.0%
Acquisition of spectrum licences	**–**	(56)	56	100.0%
Disposition of intangibles and other assets	**–**	68	(68)	(100.0%)
Other investing activities	**3**	(32)	35	n.m.
Net (repayment) issuance of debt instruments	**(1,216)**	158	(1,374)	n.m.
Issue of common shares	**240**	11	229	n.m.
Repurchase of common shares	**–**	(175)	175	100.0%
Purchase of shares for settlement of share-based payments	**(142)**	(222)	80	36.0%
Cash dividends paid on common shares	**(2,819)**	(2,679)	(140)	(5.2%)
Return of capital to non-controlling interest	**–**	(51)	51	100.0%
Other financing activities	**(53)**	(75)	22	29.3%
Net decrease in cash and cash equivalents	**(280)**	(200)	(80)	(40.0%)

n.m.: not meaningful

CASH FLOWS FROM OPERATING ACTIVITIES AND FREE CASH FLOW

In 2019, BCE's cash flows from operating activities increased by $574 million, compared to 2018, mainly due to higher adjusted EBITDA, which reflects the favourable impact from the adoption of IFRS 16, and a voluntary DB pension plan contribution of nil in 2019 compared to $240 million paid in 2018. This was partly offset by a decrease in operating assets and liabilities, higher interest paid which reflects the unfavourable impact from the adoption of IFRS 16 and higher income taxes paid.

Free cash flow increased by $251 million in 2019, compared to 2018, mainly due to higher cash flows from operating activities, excluding voluntary DB pension plan contributions and acquisition and other costs paid, partly offset by higher cash dividends paid by subsidiaries to NCI.

CAPITAL EXPENDITURES

	2019	2018	$ CHANGE	% CHANGE
Bell Wireless	**697**	664	(33)	(5.0%)
Capital intensity ratio	***7.6%***	*7.5%*		*(0.1) pts*
Bell Wireline	**3,183**	3,193	10	0.3%
Capital intensity ratio	***25.8%***	*26.0%*		*0.2 pts*
Bell Media	**108**	114	6	5.3%
Capital intensity ratio	***3.4%***	*3.7%*		*0.3 pts*
BCE	**3,988**	3,971	(17)	(0.4%)
Capital intensity ratio	***16.6%***	*16.9%*		*0.3 pts*

BCE capital expenditures totaled $3,988 million for the year, up $17 million over 2018. This corresponded to a capital intensity ratio of 16.6%, down 0.3 pts compared to last year. Capital spending in the year reflected the following:

- Greater capital investments in our wireless segment of $33 million in 2019, compared to 2018, as we advanced the build-out of our LTE-A network, continued to deploy wireless small-cells to expand capacity to support subscriber growth and increase network speeds, coverage and signal quality, as well as to expand data fibre backhaul in preparation for 5G technology